

4.2.2 How the macroeconomy works: the circular flow of income, aggregate demand/aggregate supply analysis and related concepts

4.2.2.1 The circular flow of income

Content	Additional information
• What national income measures. • The difference between nominal and real income. • Real national income as an indicator of economic performance. • The circular flow of income concept, the equation $\text{income} = \text{output} = \text{expenditure}$, and of the concepts of equilibrium and full employment income. • The difference between injections and withdrawals into the circular flow of income. • The effect of changes in injections and withdrawals on national income.	Students are not expected to have a detailed knowledge of the construction of national income accounts.

4.2.2.2 Aggregate demand and aggregate supply analysis

Content	Additional information
• Changes in the price level are represented by movements along the aggregate demand (AD) and aggregate supply (AS) curves. • The various factors that shift the AD curve and the short-run AS curve. • The factors which affect long-run AS and distinguish them from those which affect short-run AS. • Underlying economic growth is represented by a rightward shift in the long-run AS curve. • How to use AD/AS diagrams to illustrate macroeconomic equilibrium. • How both demand-side and supply-side shocks affect the macroeconomy	Students should be able to use AD and AS analysis to help them explain macroeconomic problems and issues. For example, they should be able to use AD and AS diagrams to illustrate changes in the price level, demand-deficient (cyclical) unemployment and economic growth. Students should also understand how global economic events can affect the domestic economy.

4.2.2.3 The determinants of aggregate demand

Content	Additional information
• What is meant by AD. • The determinants of AD, ie the determinants of consumption, investment, government spending, exports and imports. • The basic accelerator process. • The determinants of savings. • The difference between saving and investment.	Students will not be required to undertake calculations to illustrate the operation of the accelerator. Students should understand how changes in net exports affect aggregate demand and economic performance.

4.2.2.4 Aggregate demand and the level of economic activity

Content	Additional information
• The role of AD in influencing the level of economic activity. • The multiplier process and an explanation of why an initial change in expenditure may lead to a larger impact on local or national income. • The concept of the marginal propensity to consume and use the marginal propensity to consume to calculate the size of the multiplier. • Why the size of the marginal propensity to consume determines the magnitude of the multiplier effect.	Students will only be required to calculate the multiplier from the marginal propensity to consume. Calculations from the marginal propensities to withdraw will not be expected.

4.2.2.5 Determinants of short-run aggregate supply

Content	Additional information
• The price level and production costs are the main determinants of the short-run AS. • Changes in costs, such as: money wage rates, raw material prices, business taxation and productivity, will shift the short-run AS curve.	

4.2.2.6 Determinants of long-run aggregate supply

Content	Additional information
• The fundamental determinants of long-run AS such as technology, productivity, attitudes, enterprise, factor mobility, and economic incentives. • The position of the vertical long-run AS curve represents the normal capacity level of output of the economy. • The importance of the institutional structure of the economy in determining aggregate supply, such as the role of the banking system in providing business investment funds, should also be understood. • The Keynesian AS curve.	